

\$20,000 for the event, so the couple figured out that they'd need to pitch in \$10,000 of their own to have the wedding of their dreams.

The problem was coming up with the cash. Anne, who is frugal and likes being debt free, felt that with some careful planning, they could accumulate the money. After all, they each earned about \$45,000. Marc, however, thought that raising that kind of cash was out of the question. He already *owed* more than \$3,000 to various credit card companies and didn't see how he could possibly save the money. Why couldn't they just wait and see how much cash they received as wedding presents and then charge the rest?

After two weeks of discussion (actually, arguments), they decided to list their income and expenses and see if they could work out the problem. By writing things down, Marc quickly realized that if he cut out expensive lunches (he spent four times as much as Anne did) and put off buying clothes for work until the spring (he spent twice as much as she did on suits), he could come up with a good chunk of change. He also was forced to acknowledge that having Anne as his roommate would actually make saving much easier; it cut his rent, utilities, and phone charges in half. The compromise: Anne and Marc would each set aside \$280 every two weeks in a joint bank account earmarked for wedding expenses only.

↓ FINANCIAL RULES OF THUMB

To help you evaluate whether your current spending and saving habits are right on track, wildly off base, or somewhere in between, I've listed a few financial rules. These will give you something to strive for.

Realistically, they aren't always possible to attain, but it's good to set high goals. Use the worksheet you filled out to help with your calculations.

- **The Debt Target: Your debt payments (not including your mortgage) should be less than 20% of your monthly take-home pay.** To see if you meet this standard, list all the monthly payments you make on your student loans, credit